

23. Don't Try to Be 100 Percent Right

Almost every trader has had the experience of the market moving against a position sufficiently to raise significant concern regarding the potential additional loss, while still believing the position is correct. Staying in the trade risks an uncomfortably large loss, but liquidating the trade risks abandoning a good position at nearly the worst possible point. In such circumstances, Vidich advises that instead of making an all-or-nothing decision, traders should liquidate part of the position. Taking a partial loss is much easier than liquidating the entire position and will avoid the possibility of riding the entire position for a large loss. It will also preserve the potential for a partial recovery if the market turns around.

24. Protective Stops Need to Be Consistent with the Trade Analysis

O'Shea explains that too many traders set stops based on their pain threshold rather than as points that disprove their trade premise. Because traders can't stand the pain of a larger loss, they tend to set stops too close—that is, at a point at which they would still believe in the trade. Consequently, there is a tendency for some traders to try to repeatedly reenter a trade after being stopped out, potentially leading to multiple losses, which cumulatively can be larger than the single loss that would have occurred with a wider stop originally set at a meaningful level. O'Shea advises that traders should first decide at what price they would believe their trade is wrong and then set the stop accordingly. If the implied loss to this stop point is uncomfortably large, then the position size should be reduced commensurately. Using this approach, if the market reaches the stop point, it will be consistent with demonstrating that the original trade idea was wrong.